

Banking Knowledge Base

For Use by Virtual Banking Assistant (AI Chatbot)

Section 1: Introduction to Banking

1.1 What is a Bank?

A bank is a financial institution licensed to accept deposits from customers and provide loans. Banks also offer a variety of financial services such as fund transfers, bill payments, foreign exchange, investments, and insurance products.

Key functions of a bank:

- Safeguarding customer deposits
- Providing loans and credit facilities
- Enabling money transfers (domestic and international)
- Offering investment and savings products
- Issuing debit cards, credit cards, and cheque books
- Providing internet banking and mobile banking services

Banks are regulated by the central bank of each country (for example, the Reserve Bank of India regulates all banks in India). This ensures customer money is safe and banking operations are transparent.

1.2 Types of Bank Accounts

Banks offer different types of accounts to meet different financial needs. Below are the most common types.

Savings Account

A savings account is the most basic and common type of bank account. It is designed for individuals who want to save money and earn interest on their balance.

Key features:

- Earns interest on the balance (typically 2.5% to 4% per year)
- Suitable for personal use by salaried individuals, students, and homemakers
- Limited number of free withdrawals per month in some banks
- Minimum balance requirement may apply (varies by bank and account type)

- Comes with a debit card, cheque book, and internet banking access

Best suited for:

- Individuals who receive a salary or regular income
- Students and young adults opening their first account
- People who want a safe place to keep money and earn some interest

Current Account

A current account is designed for businesses, traders, and companies that perform a large number of transactions every day.

Key features:

- No limit on the number of transactions per day
- Does not earn interest on the balance (in most banks)
- Typically requires a higher minimum balance than a savings account
- Comes with an overdraft facility (ability to withdraw more than the balance)

Best suited for:

- Business owners, traders, and companies
- Professionals with high transaction volumes
- Organizations that need to manage payroll and vendor payments

Fixed Deposit (FD) Account

A fixed deposit is an investment product where a customer deposits a lump sum amount for a fixed period (the tenure) at a predetermined interest rate.

Key features:

- Higher interest rates compared to savings accounts (typically 5% to 8%)
- The money is locked in for the chosen tenure (e.g., 6 months, 1 year, 5 years)
- Premature withdrawal is allowed but may attract a penalty
- Interest can be paid monthly, quarterly, or at maturity
- Deposits up to Rs. 5 lakh are insured under DICGC insurance (in India)

Best suited for:

- Individuals who have surplus money and want guaranteed returns
- Retirees or people looking for a safe, low-risk investment
- Anyone saving for a specific goal over a defined period

Recurring Deposit (RD) Account

A recurring deposit account allows customers to deposit a fixed amount every month and earn interest on the accumulated amount.

Key features:

- Fixed monthly deposits (e.g., Rs. 500 every month)
- Tenure typically ranges from 6 months to 10 years
- Interest rates are similar to fixed deposits
- Helps build a saving habit with disciplined monthly contributions

Section 2: Opening a Bank Account

2.1 Required Documents (KYC – Know Your Customer)

KYC (Know Your Customer) is a mandatory process required by all banks to verify the identity and address of every customer. This process prevents fraud, money laundering, and illegal financial activities.

Identity Proof (any one of the following):

- Aadhaar Card
- Passport
- PAN Card
- Voter ID Card
- Driving Licence
- NREGA Job Card issued by state government

Address Proof (any one of the following):

- Aadhaar Card (if address is current)
- Passport
- Voter ID Card
- Driving Licence
- Utility bill (electricity, water, gas) not older than 3 months
- Bank account statement from another bank
- Rent agreement (registered)

Additional Documents:

- Recent passport-sized photographs (usually 2)
- PAN Card (mandatory for accounts above a certain transaction threshold)
- For minors: birth certificate and guardian's KYC documents
- For businesses: business registration certificate, GST number, etc.

Note: Aadhaar-based eKYC is now accepted by most banks and allows faster account opening with biometric verification.

2.2 Step-by-Step Process to Open a Bank Account

1. **Choose the right bank and account type.** Research based on interest rates, branch proximity, digital services, minimum balance requirements, and fees.
2. **Visit the bank branch or go to the bank's official website.** For offline: carry original documents and photocopies. For online: keep scanned copies ready.
3. **Fill out the account opening form** with personal details: full name, date of birth, address, mobile number, email address, and occupation.
4. **Submit KYC documents.** Submit self-attested photocopies of identity and address proof along with recent passport-sized photographs.
5. **Make the initial deposit (if applicable).** Some accounts require an initial deposit to activate.
6. **Receive your account details.** After verification, the bank provides your account number, IFSC code, debit card (in 7–10 working days), and internet banking credentials.
7. **Activate your account.** Set your ATM PIN, register for internet banking, and link your mobile number and email for alerts and OTP verification.

2.3 Online vs. Offline Account Opening

Online Account Opening

Visit the official website or download the bank's mobile app. Fill out the digital application form, upload KYC documents, and complete video KYC (V-KYC) if required.

Advantages:

- Available 24/7 from anywhere
- No need to visit a branch
- Faster processing — sometimes within a few hours
- Paperless and convenient

Limitations:

- Some account types may still require physical verification
- Requires a smartphone or computer with internet access

Offline Account Opening

Visit your nearest bank branch during working hours, request an account opening form, fill it out, and submit with required documents. A bank representative will guide you through the process.

Advantages:

- Personal assistance from bank staff
- Suitable for customers not comfortable with digital processes

- Immediate resolution of doubts and queries

Limitations:

- Requires visiting the branch during working hours
- May involve waiting time at the branch

Section 3: ATM and Debit Card Usage

3.1 How to Withdraw Money from an ATM

An ATM (Automated Teller Machine) allows customers to withdraw cash, check account balance, and perform basic transactions without visiting a branch.

1. **Insert your debit card** into the card slot with the chip facing up or as indicated.
2. **Select your language** from the options displayed on the screen.
3. **Enter your 4-digit ATM PIN.** Always cover the keypad with your other hand while entering it.
4. **Select "Cash Withdrawal"** from the transaction menu.
5. **Select account type** — Savings Account or Current Account.
6. **Enter the amount** you wish to withdraw, ensuring it is within your daily limit.
7. **Collect your cash and card.** Count the notes before leaving the ATM.
8. **End the transaction** by pressing "Cancel" or "Exit."

3.2 Daily Withdrawal Limits and Free Transaction Limits

Daily ATM withdrawal limits:

- Standard debit cards: typically Rs. 25,000 to Rs. 50,000 per day
- Premium or platinum debit cards: may allow up to Rs. 1,00,000 per day or more
- International withdrawal limits may differ from domestic limits

Free ATM transaction limits (as per RBI guidelines):

- 5 free transactions per month at your own bank's ATMs
- 3–5 free transactions per month at other banks' ATMs
- After exceeding the free limit, approximately Rs. 21 per transaction is charged
- Some premium accounts may offer more free transactions

3.3 ATM Safety Tips

- Use ATMs in well-lit, secure locations — preferably inside bank branches.
- Never accept help from strangers while using an ATM.

- Cover the keypad with your hand when entering your PIN.
- Check for suspicious devices attached to the card slot or keypad (card skimmers).
- Do not count your cash at the ATM — move to a secure area first.
- Call your bank immediately if your card is retained by the ATM machine.
- Never share your ATM PIN with anyone, including bank staff or family members.
- Change your ATM PIN every 3–6 months.
- Register your mobile number with the bank to receive instant SMS alerts for every transaction.

Section 4: Common Problem Scenarios and Solutions

4a. ATM Issue: Money Debited but Cash Not Received

Scenario: You attempted to withdraw cash from an ATM. The amount was debited from your account, but the ATM did not dispense cash or dispensed less than requested.

Common Causes:

- The ATM ran out of cash mid-transaction
- A technical error occurred in the ATM machine
- The ATM screen froze or the transaction timed out

Solution:

- 1. Note the details immediately** — date, time, ATM location, and amount debited. Take a photo of any error message and collect the printed receipt.
- 2. Wait for auto-reversal.** Banks automatically reverse failed ATM transactions, typically within 24 to 72 hours.
- 3. Contact your bank** if the amount is not reversed within 72 hours. Provide the transaction ID, date, time, and ATM location.
- 4. Raise a formal complaint.** Request an ATM dispute complaint registration and get a reference number. Banks must resolve this within 5 working days as per RBI guidelines.
- 5. Escalate if needed** to the bank's nodal officer or to the RBI Banking Ombudsman at <https://cms.rbi.org.in>.

4b. Failed Transactions: Money Deducted but Not Completed

Scenario: You made an online payment or UPI transfer. The amount was deducted from your account, but the beneficiary did not receive the funds.

Common Causes:

- Slow or interrupted internet connection during the transaction

- Bank server downtime or technical error
- Wrong beneficiary details entered
- The transaction timed out before completion

Solution:

1. **Do not retry immediately.** Wait 30–60 minutes before assuming the transaction has failed.
2. **Check your transaction history** in the mobile or internet banking app for the transaction status.
3. **Wait for auto-reversal:** UPI — within 24 hours; NEFT/IMPS — within 1–3 business days.
4. **Contact customer care** if not resolved after 48 hours. Provide the transaction reference number and details.
5. **Raise a formal complaint** and obtain a written acknowledgment with a reference number.

4c. Lost or Stolen Debit / Credit Card

Scenario: Your debit or credit card has been lost, stolen, or used without your authorization. **Immediate action is required.**

Step 1 — Block your card immediately:

- **Mobile Banking App:** Go to "Cards" > "Manage Cards" > "Block Card." The card is blocked instantly.
- **Internet Banking:** Navigate to "Card Services" and select the option to block or deactivate the card.
- **Customer Care Helpline:** Call your bank's 24x7 toll-free helpline and follow IVR instructions to block the card.
- **Branch Visit:** Present valid ID proof to request card blocking in person.

Step 2 — Report any unauthorized transactions to the bank immediately.

Step 3 — If the card was stolen, file an FIR at the nearest police station and keep a copy for bank records.

Step 4 — Request a replacement card via mobile app, internet banking, customer care, or branch visit. Delivery takes 7–10 working days.

4d. Online Banking Issues

Unable to Log In to Internet Banking

Solution:

1. Double-check the username (usually your Customer ID found on your passbook or welcome letter).
2. Ensure Caps Lock is off while entering your password.

3. Clear your browser cache and cookies, then try again.
4. If the account is locked, follow the password reset steps below.
5. If the issue persists, call customer care for assistance.

Forgot Password / Password Reset

1. Go to the bank's internet banking login page (ensure it is the genuine official website).
2. Click on "Forgot Password" or "Reset Password."
3. Enter your Customer ID and registered mobile number. An OTP will be sent.
4. Enter the OTP within the specified time limit (usually 3–5 minutes).
5. Set a new strong password (e.g., MyBank@2024 — use uppercase, lowercase, numbers, and special characters).
6. Log in with the new password.

Note: If you do not have access to your registered mobile number, visit your nearest bank branch with valid ID proof to reset your credentials.

OTP Not Received

- Ensure your registered mobile number is active and has a valid network signal.
- Check if your message inbox is full.
- Wait 2–3 minutes and request the OTP again.
- Contact bank customer care if the OTP is still not received.

Section 5: Loans and Interest Basics

5.1 Types of Loans

A loan is an amount of money borrowed from a bank that must be repaid over a specified period along with interest.

Personal Loan

An unsecured loan (no collateral required) given based on the borrower's income and credit score.

- Amount typically ranges from Rs. 50,000 to Rs. 40 lakh
- Repayment tenure: 1 to 5 years; interest rates: 10% to 24% per annum
- Approval is faster — sometimes within 24 hours
- Can be used for any purpose: medical, travel, wedding, education, home renovation, etc.

Home Loan

A secured loan to purchase, construct, or renovate a house. The property itself acts as collateral.

- Long repayment tenure: 5 to 30 years

- Interest rates: typically 8% to 12% per annum
- Interest paid is tax-deductible under Income Tax Act
- EMI may be fixed or floating rate

Education Loan

Given to students to fund higher education in India or abroad.

- Covers tuition fees, living expenses, books, travel, and related costs
- Loans up to Rs. 4 lakh may not require collateral
- Repayment begins after the course ends plus a moratorium period (6–12 months)
- Interest rates: typically 8% to 15% per annum

Vehicle Loan

- The vehicle acts as collateral; covers new and used vehicles
- Repayment tenure: 1 to 7 years; interest rates: 7% to 15% per annum
- Down payment of 10%–20% of vehicle value is typically required

Gold Loan

- Borrow money by pledging gold jewellery or coins as collateral
- Quick disbursement — often within the same day
- Lower interest rates compared to personal loans
- Gold is kept safe in the bank's vault and returned upon repayment

5.2 Understanding Interest Rates

Simple Interest

Calculated only on the original (principal) amount. **Formula:** $\text{Interest} = \frac{\text{Principal} \times \text{Rate} \times \text{Time}}{100}$

Example: Principal: Rs. 1,00,000 | Rate: 10% p.a. | Time: 2 years | Interest = Rs. 20,000 | Total Repayment = Rs. 1,20,000

Compound Interest

Calculated on the principal AND the accumulated interest from previous periods (interest on interest).

Example: Principal: Rs. 1,00,000 | Rate: 10% p.a. | Time: 2 years (compounded annually) | Year 1: Rs. 10,000 interest | Year 2: Rs. 11,000 interest | Total Repayment = Rs. 1,21,000

Fixed vs. Floating Interest Rates

- **Fixed rate:** The interest rate remains the same throughout the loan tenure. Monthly EMI payments remain constant.

- **Floating rate:** The rate changes based on market benchmarks (such as RBI repo rate). Often starts lower but carries the risk of increasing.

EMI (Equated Monthly Instalment)

A fixed monthly amount paid by the borrower to the bank until the loan is fully repaid. It includes both a principal component and an interest component. In early months, the interest component is higher; in later months, the principal component is higher. Prepayment can reduce total interest paid and shorten the loan tenure.

Section 6: Customer Support

6.1 How to Contact Bank Customer Support

- **Customer Care Helpline:** Call the bank's 24x7 toll-free number (printed on the back of your debit/credit card or on the official website). Follow the IVR menu to reach the relevant department.
- **Email Support:** Send a detailed email to the bank's official customer care address. Response time is typically 24–48 hours.
- **Live Chat:** Many banks offer live chat support on their official website or mobile app for quick queries.
- **Mobile Banking App:** Use the "Help" or "Support" section to raise service requests, track complaints, and chat with support directly.
- **Branch Visit:** For complex issues or document submissions, visit your nearest branch with valid ID proof.
- **Virtual Assistant / Chatbot:** Many banks offer AI-powered chatbots on their website and app for instant answers.

6.2 Complaint Escalation Process

1. **Level 1 — Customer Care Helpline or Branch:** Raise your complaint and obtain a reference number. Banks are required to resolve most complaints within 10–15 business days.
2. **Level 2 — Grievance Redressal Officer:** If Level 1 does not resolve the issue, escalate to the bank's Grievance Redressal Officer (contact details on the bank's official website).
3. **Level 3 — Nodal Officer:** A senior bank official responsible for resolving unresolved grievances. Contact details available on the bank's website.
4. **Level 4 — RBI Banking Ombudsman:** If the bank fails to resolve the complaint within 30 days, file a complaint at <https://cms.rbi.org.in> at no cost to you.

Section 7: Safety and Fraud Awareness

7.1 Common Types of Banking Fraud

Phishing: Fraudsters send fake emails, SMS, or WhatsApp messages appearing to come from your bank, with links to fake websites designed to capture your login credentials or card details.

Vishing (Voice Phishing): Fraudsters call customers pretending to be bank employees or RBI officials and ask for your ATM PIN, OTP, or internet banking password. No genuine bank employee will ever ask for these over the phone.

SIM Swap Fraud: Fraudsters obtain a duplicate SIM for your registered mobile number, allowing them to intercept all OTPs and banking alerts. Warning sign: your phone suddenly loses network connectivity.

Card Skimming: A hidden device (skimmer) attached to an ATM or POS terminal copies your card data. A tiny camera may capture your PIN simultaneously.

UPI Fraud: Fraudsters send UPI collect requests instead of payment links. Approving the request deducts money from your account. Always verify whether you are receiving or sending money before entering your UPI PIN.

Online Shopping Fraud: Fake websites or unverified sellers collect payment without delivering goods. Always buy from verified sellers and use secure payment methods.

Fake Customer Care Fraud: Fraudsters create fake customer care numbers appearing in internet search results. Always use the number printed on your card or the bank's official website.

7.2 Do's and Don'ts for Customer Safety

DO'S:

- Register your mobile number with your bank to receive instant SMS and email alerts for every transaction.
- Use strong, unique passwords for internet banking and change them every 3–6 months.
- Enable two-factor authentication (2FA) for all banking transactions.
- Verify the website URL before entering credentials — it should start with "https://" and show a padlock icon.
- Block your card immediately if it is lost, stolen, or if you notice unauthorized transactions.
- Check your bank statements regularly for any unauthorized transactions.
- Log out of internet banking and mobile banking after every session.
- Use only the bank's official mobile apps from the App Store or Google Play Store.

DON'TS:

- Do not share your ATM PIN, OTP, internet banking password, or card number with anyone.
- Do not respond to unsolicited calls, emails, or messages asking for banking credentials.

- Do not click on links in SMS or emails claiming to be from your bank — always type the URL directly.
- Do not use public Wi-Fi networks for banking transactions.
- Do not save card details or passwords on shared computers.
- Do not download banking apps from unofficial or third-party sources.
- Do not approve unknown UPI collect requests.
- Do not use customer care numbers found through internet searches.

Section 8: Frequently Asked Questions (FAQs)

Q1. What is the minimum balance required in a savings account?

The minimum balance requirement varies by bank and account type. Basic Savings Bank Deposit (BSBD) accounts require no minimum balance — these are zero-balance accounts offered by all scheduled banks. Regular savings accounts typically require Rs. 500 to Rs. 10,000 depending on the bank and branch location. If the minimum balance is not maintained, a quarterly non-maintenance charge is deducted.

Q2. How many free ATM transactions are allowed per month?

As per RBI guidelines, customers are entitled to 5 free transactions per month at their own bank's ATMs and 3–5 free transactions at other banks' ATMs. After exceeding the free limit, banks charge approximately Rs. 21 per transaction.

Q3. How long does an NEFT transfer take?

NEFT operates 24x7 and processes transactions in hourly batches. Funds are typically credited within 30 minutes to 2 hours. For instant transfers, use IMPS. For large-value transfers (minimum Rs. 2 lakh), use RTGS, which processes in real time.

Q4. What should I do if my account is debited twice for the same transaction?

Note the transaction reference numbers for both debits, contact your bank's customer care helpline immediately, and raise a formal complaint. The bank will investigate and reverse the duplicate debit, typically within 5–7 working days.

Q5. How do I update my mobile number registered with the bank?

Visit your nearest bank branch with valid identity proof, use internet banking (Profile > Update Mobile Number), or use an ATM where supported. The update is typically processed within 1–3 working days.

Q6. What is the difference between IMPS, NEFT, and RTGS?

IMPS: Available 24x7, instant transfer, up to Rs. 5 lakh per transaction. NEFT: Available 24x7, batch processing, credited within 30 minutes to 2 hours, any amount. RTGS: Large-value transfers (minimum Rs. 2 lakh), real-time processing during bank working hours.

Q7. How do I check my account balance without visiting the bank?

Options include: mobile banking app, internet banking portal, ATM balance enquiry, missed call banking (call your bank's designated number from your registered mobile), SMS banking, or any linked UPI app.

Q8. What happens if I forget my internet banking User ID?

Your Customer ID is printed on the first page of your passbook or mentioned in the welcome letter. You can also log in via the mobile app using OTP. Contact customer care or visit a branch with valid ID proof for assistance.

Q9. How do I apply for a Fixed Deposit (FD)?

Online: Log in to internet banking or the mobile app, go to the Fixed Deposit section, enter the deposit amount, tenure, and interest payout preference, and confirm. Offline: Visit your nearest branch and fill out the FD form. Senior citizens typically receive an additional 0.25%–0.50% interest. Premature withdrawal may attract a penalty.

Q10. Is my money safe in the bank?

Bank deposits in India are protected under the DICGC scheme, which insures deposits up to Rs. 5 lakh per depositor per bank, covering savings, current, fixed, and recurring deposits combined. Banks regulated by RBI are subject to strict oversight, capital requirements, and risk management guidelines.

Q11. What is a nominee and why should I add one?

A nominee is a person designated to receive the funds in your account in the event of your death. Adding a nominee ensures your family can claim funds without lengthy legal procedures. You can add or change the nominee at any time through internet banking, mobile banking, or by visiting the branch.

Q12. How do I close my bank account?

Withdraw or transfer the remaining balance, cancel any standing instructions or auto-debits, return your debit card and cheque book, then visit the branch and submit a written account closure request form with identity proof. Account closure is usually free if the account has been open for more than 12 months.

Quick Reference: Emergency Actions

Lost / Stolen Card: Block immediately via mobile app, internet banking, or customer care helpline. Report any unauthorized transactions.

ATM Cash Not Dispensed: Wait 24–72 hours for auto-reversal. If not reversed, contact customer care with transaction details.

Fraud or Unauthorized Transaction: Block your card immediately, call customer care to report the fraud, and file a police complaint if required.

Account Login Issues: Use "Forgot Password" on the login page. Contact customer care if OTP is not received.

Failed Online Transaction: Wait 24–48 hours for auto-reversal. Contact customer care if not resolved.

Escalation Path: Level 1: Bank Customer Care → Level 2: Grievance Redressal Officer → Level 3: Nodal Officer → Level 4: RBI Banking Ombudsman (<https://cms.rbi.org.in>)